SMID BREAKOUT SCANNER

MARKET CLOSE

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3 setups identified | 2 A-Grade | 0 B-Grade | 1 C-Grade

Grade Summary

A - Breakout Setup (2)	B - Strong Setup (0)	C - Watch List (1)
VRNS		INDB
TALO		

All Setups

Gr	Ticker	Company	Theme	Price	Chg %	Cap	Float	RS/SPY	52W Hi	Catalyst
A	VRNS	Varonis Systems,	Cybersecurity / D	$48.72	+2.9%	$5.6B	111M	+3.2	76%	Massive 22.6x volume s
A	TALO	Talos Energy, In	Energy Sector Bre	$17.77	+4.7%	$3.0B	136M	+18.1	95%	Riding Energy sector l
C	INDB	Independent Bank	Regional Bank Rec	$79.88	+3.6%	$3.8B	47M	-7.7	91%	

Not financial advice. For informational purposes only. Do your own due diligence.

VRNS

Varonis Systems, Inc.

$48.72

+2.92%

RS vs SPY: +3.2%

A BREAKOUT

$5.6B Cap | 111M Float

Software - Infrastructure | Theme: Cybersecurity / Data Governance | 52W Hi: 76% | Base Tight: 2.11 | Vol: 22.6x | RS/SPY: +3.2% | Above 20MA: YES | EARNINGS IN 18D

SETUP METRICS

Price	**$48.72**
Day Change	**+2.92%**
Mkt Cap	**$5.60B**
Float	**111M sh**
RS vs SPY	**+3.2%**
52W Hi Prox	**76%**
Base Tight	**2.11**
Vol vs Avg	**22.6x**
RS Line Hi	**YES**
Above 50MA	**-**
Fwd P/E	**-**
Short %	**-**
Days to Cover	**-**
Inst. Own	**- (data lag)**

ANALYSIS

CATALYST / TODAY'S DRIVER

Massive 22.6x volume surge on technical breakout with RS line at new 52W high, signaling institutional repositioning ahead of earnings. Forward catalyst: Nov 3 earnings print (18 days out) with potential to confirm accelerating data security spending tied to AI/compliance mandates-a beat would validate the breakout and trigger next leg higher.

BUSINESS & POSITION

Varonis provides data security and analytics software, specializing in unstructured data governance, threat detection, and compliance-category leader in protecting enterprise file systems, cloud storage, and SaaS platforms. Premium justified by secular tailwinds: zero-trust architecture adoption, insider threat mitigation, and AI-driven data sprawl requiring sophisticated monitoring.

FACTOR & THEME

Cybersecurity remains a Tier-1 theme with bipartisan government support and C-suite budget priority; data governance specifically accelerating as generative AI deployments expand attack surfaces. Theme momentum is accelerating-recent breaches and regulatory pressure (SEC cyber disclosure rules, GDPR/CCPA enforcement) sustain demand regardless of macro backdrop.

BREAKOUT SIGNAL

Close above $48.72 on volume >22x of 20d avg

INSTITUTIONAL

The 22.6x volume explosion is institutional-grade-this is the highest vol_ratio in the candidate set and represents material block buying, not retail FOMO. No insider buying in last 90 days is a neutral (not bearish) signal for software stocks where equity comp dominates and insiders rarely buy in open market. Float of 111M allows sustained institutional accumulation without overwhelming supply.

EARNINGS

EARNINGS IN 18D

EARNINGS CONTEXT

Nov 3 print is critical re-rating opportunity. Varonis historically volatile on earnings with 20%+ post-report moves common. Consensus and beat history not provided, but the 18-day runway and RS line at new high suggest smart money is positioning for a positive surprise-likely tied to SaaS transition metrics (ARR growth, net retention) and AI-security product traction.

KEY RISK

Thesis invalid on a close below $46.50 (approximate 20MA and prior consolidation support), or on any earnings miss/guidance cut Nov 3 that confirms decelerating ARR growth. Secondary risk: cybersecurity sector multiple compression if macro deteriorates further and IT budgets face cuts.

ANALYSIS

Strongest disconfirming evidence: prox_52w at only 76.4% means stock is NOT in the classic >85% breakout zone, and mixed macro (VIX 19.99, transitional regime) raises failure risk for pre-earnings setups. However, the RS line at new high + 22.6x volume surge + tight 18-day catalyst window to Nov 3 earnings + cybersecurity theme leadership override the distance-to-high concern-this is institutional money front-running a potential beat. Base_tight at 2.11 is acceptable (just above 2.0 threshold), and the volume profile screams conviction. Conviction: Medium-High (would be High in a risk-on regime; mixed macro caps it).

Signal: Close above $48.72 on volume >22x of 20d avg

Vol vs Avg: 22.6x

VRNS - Technical Chart



TALO

Talos Energy, Inc.

$17.77

+4.65%

RS vs SPY: +18.1%

A BREAKOUT

$3.0B Cap | 136M Float

Oil & Gas E&P | Theme: Energy Sector Breakout | 52W Hi: 95% | Base Tight: 2.0 | Vol: 2.1x | RS/SPY: +18.1% | Above 20MA: YES | EARNINGS IN 18D

SETUP METRICS

Price	**$17.77**
Day Change	**+4.65%**
Mkt Cap	**$2.97B**
Float	**136M sh**
RS vs SPY	**+18.1%**
52W Hi Prox	**95%**
Base Tight	**2.0**
Vol vs Avg	**2.1x**
RS Line Hi	**no**
Above 50MA	**YES**
Fwd P/E	**-**
Short %	**-**
Days to Cover	**-**
Inst. Own	**- (data lag)**

ANALYSIS

CATALYST / TODAY'S DRIVER

Riding Energy sector leadership (+10.6% vs SPY this week) with stock at 94.9% of 52W high on 2.1x volume, breaking out ahead of Nov 3 earnings. Forward catalyst: the Nov 3 print with potential to deliver earnings beat on elevated oil/gas realizations + production outperformance, plus any update on Gulf of Mexico development projects or strategic M&A that could re-rate the asset base.

BUSINESS & POSITION

Talos is a Gulf of Mexico-focused E&P with offshore drilling assets, CCS (carbon capture) development, and a growing low-carbon energy portfolio-positioned as a transition-ready oil producer. Premium deserved now due to Energy sector rotation (best performer this week), tightening Gulf supply, and credible pivot toward carbon management monetization.

FACTOR & THEME

Pure play on Energy sector momentum, which is leading the market this week (+10.6% vs SPY). Also exposed to carbon capture/CCS theme as Gulf operators monetize CO2 sequestration rights-bipartisan IRA tax credits (45Q) provide durable tailwind. Theme momentum accelerating on geopolitical supply concerns and rotation into value/cyclicals amid mixed macro.

BREAKOUT SIGNAL

Close above $17.77 on volume >2.1x of 20d avg

INSTITUTIONAL

2.1x volume is solid institutional follow-through but not explosive-suggests measured accumulation rather than panic buying. No insider buying in last 90 days; for E&P companies, insider activity often clusters around asset sales or transformative deals rather than routine operations, so absence is neutral. The +0.5 grade boost for Energy sector leadership elevates this from high-B to low-A.

EARNINGS

EARNINGS IN 18D

EARNINGS CONTEXT

Nov 3 earnings (18 days) is a binary catalyst. Talos has a history of volatile post-earnings moves driven by production guidance and hedging updates. Current setup suggests positioning for a beat, likely on higher realized prices and operational efficiency gains. Any production guidance raise or CCS project commercialization update could trigger institutional re-rating.

KEY RISK

Thesis invalid on a close below $16.80 (approximate 20MA and base support), or on earnings miss/production guidance cut Nov 3. Commodity price risk: a sharp retreat in WTI crude below $70 would pressure the entire setup regardless of company-specific execution. Float of 136M is relatively high, requiring sustained institutional buying to extend the move.

ANALYSIS

Strongest disconfirming evidence: RS line NOT at new high (rsLineNewHigh=false) downgrades the technical quality-this is sector-driven beta, not confirmed alpha/leadership. However, prox_52w at 94.9% + rs_vs_spy +18.1 + base_tight exactly 2.0 + Energy sector leadership (+10.6% this week, earning the +0.5 grade boost) + 18-day earnings catalyst override the missing RS confirmation. In a risk-on regime this would be a textbook A; mixed macro and lack of RS line new high introduce execution risk. Conviction: Medium (sector tailwind is strong but leadership signal incomplete).

Signal: Close above $17.77 on volume >2.1x of 20d avg

Vol vs Avg: 2.1x

TALO - Technical Chart

